

Distribution Special Services

Prices for the provision of
Distribution Special Services
for the period
1 July 2009 until 30 June 2010

Submission to the Energy Regulator April 2009

Special Services

In his Declared Electrical Services Pricing Determination¹ (Determination) the Regulator has prescribed a methodology for the calculation of Distribution Special Services charges for each period within the Regulatory Period (1 January 2008 – 30 June 2012).

The Determination states at clauses 4 and 5 of Division 2:

4. The charges imposed by Aurora Distribution for the provision of Special Services in periods 2 to 5 inclusive are to be determined in accordance with the principle that if each of those charges were to be applied to the relevant number of Distribution Special Services listed in Table 1 of Schedule 1, the sum of the result so obtained must not exceed the notional maximum revenue calculated in accordance with clause 5.
5. The notional maximum revenue which may be earned by Aurora Distribution for the relevant period for the provision of Distribution Special Services listed in Table 1 of Schedule 1, is to be calculated on the following basis:

Notional Maximum Revenue in the relevant period is to be equal to \$1 578 700 times the prescribed inflationary factor for the relevant period.

The Determination defines the *Wage Index* in section 2 as:

“Wage Index” means the Labour Price Index Catalogue 6345.0, Table 11 “Wage Price Index: Ordinary Time Hourly Rates of Pay Excluding Bonuses. Sector by Industry - All Sectors, Electricity Gas, and Water Supply published by the Australian Statistician under the *Census and Statistics Act 1905* of the Commonwealth;

The Australian Statistician has renumbered the tables within Catalogue 6345.0 and Table 9 has now replaced Table 11 (Explanatory Notes – Appendix 3 Concordance of old to new tables). To remain consistent with the Determination, Aurora has therefore used Table 9 as the basis of its calculations.

Notional Maximum Revenue

The Notional Maximum Revenue (NMR) is calculated on the following basis:

$$NMR_y = 1,578,700 \times PIF_y$$

$$\begin{aligned} NMR_y &= 1,578,700 \times 1.112 \\ &= 1,754,888 \end{aligned}$$

$$PIF_y = \frac{WPI_y}{WPI_0}$$

$$PIF_y = \frac{125.5}{112.9}$$

$$PIF_y = 1.112$$

¹ Investigation into Electricity Supply Industry Pricing Policies – Declared Electrical Special Services Pricing Determination; 1 July 2008

Where,

WPI is the Labour Price Index, Catalogue 6345.0, Table 9b "Wage Price Index: Ordinary Time Hourly Rates of Pay Excluding Bonuses. Sector by Industry – All Sectors, Electricity, Gas and Water Supply published by the Australian Statistician under the *Census and Statistics Act 1905* of the Commonwealth.

WPI_y is the Labour Price Index for the quarter ending 31 December 2008, being 125.5.

WPI_0 is the Labour Price Index for the quarter ending 30 June 2006, being 112.9.

Proposed Prices for 1 July 2009

The charges that Aurora is proposing that the Regulator approve for the period 1 July 2009 to 30 June 2010 are detailed below and are categorised into the three Service Types of Energisation, De-energisation and Re-energisation; Meter Alteration; and Meter Test.

The agreement to deliver any services to the agreed guarantees stated within in this document are made assuming that there is access to the metering and servicing assets, there are no safety issues associated with delivery of the service, the Electrical Contractor has performed work to agreed standards and the infrastructure is present to deliver the service.

Energisation, De-energisation and Re-energisation

Aurora proposes that six charges exist under this category:

- Connection site visit – no appointment \$33.40
Visit to a customer's premises during normal business hours where no appointment is required on the regular scheduled day for service delivery and the request is received before 3:00pm the previous business day. The visit will be required to energise or de-energise an installation; energise or de-energise due to credit; or to perform special readings.
- Connection site visit – non-scheduled visit \$107.80
Visit to a customer's premises during normal business hours where the visit is required on the day of a customer's request and the request is received before 11:00am on that day or on a day that is not a scheduled visit day and the request is received before 3:00pm the previous business day. The visit will be required to energise or de-energise an installation.
- Connection site visit – inspection required \$132.10
Visit to a customer's premises during normal business hours where an inspection is required prior to energisation.
- Connection site visit – same day premium service \$194.00
Visit to a customer's premises where the visit is to occur the same day but requested after 11:00am on that day. The visit will be required to energise or de-energise an installation.
- Rectification of Illegal Connection \$286.00
Visit to a customer's premises during normal business hours to rectify an installation that has been illegally connected. Price does not include the cost to repair damaged equipment.
- Transfer of Retailer \$0.00
Transfer of a NMI to a new Retailer effective the same date of the scheduled meter reading where no site visit is required or communications are installed.

Meter Alteration

Aurora proposes that five charges exist under this category.

All services to be delivered no later than 10 business days of receiving retailer service request, unless an alternate date for the service has been agreed. A retailer service request is to be received by 3:00pm on any business day, otherwise it will be deemed to have been received the next business day.

- Tariff alteration – single phase \$124.80
Visit to a customer's premises during normal business hours to add or modify a single phase metering circuit.
- Tariff alteration – three phase \$124.80
Visit to a customer's premises during normal business hours to add or modify a three phase metering circuit.
- Reconnect meter \$88.40
Visit to a customer's premises during normal business hours to reconnect a previously disconnected meter.
- Adjust time clock \$90.10
Visit to a customer's premises during normal business hours to adjust the time period of an existing time clock (eg daylight savings).
- Install/remove ERT metering \$182.00
each additional meter \$156.00
Visit to a customer's premises during normal business hours to install or remove an ERT meter.

Meter Test

Aurora proposes that four charges exist under this category.

All services to be delivered no later than 15 business days of receiving retailer service request, unless an alternate date for the service has been agreed. A retailer service request is to be received by 3:00pm on a business day, otherwise it will be deemed to have been received the next business day.

- Meter test – single phase \$202.70
Visit to a customer's premises during normal business hours to test a single phase meter at the customer's request. No fee will apply if the meter is found to be faulty.
- Meter test – multi phase \$405.30
Visit to a customer's premises during normal business hours to test a multi phase meter at the customer's request. No fee will apply if the meter is found to be faulty.
- Meter test – Current Transformer \$326.55
Visit to a customer's premises during normal business hours to test a Current Transformer meter at the customer's request. No fee will apply if the meter is found to be faulty.
- Meter test – wasted visit \$68.15
Visit to a customer's premises during normal business hours to test a meter at the customer's request where the test could not be completed due to issues at the customer's premises.

Compliance with Determination

The total charges that Aurora is proposing that the Regulator approve for the period 1 July 2009 to 30 June 2010 must be less than the NMR for the period (\$1,754,888) and are detailed in the table below.

Table 1 – Service Types and Charges

Service Type	Number	Charge	Total
Disconnections	17,000	\$33.40	\$567,800
Transfer of supply	13,600	\$33.40	\$454,240
Reconnections	10,500	\$33.40	\$350,700
Same day reconnections	800	\$130.20	\$104,160
Check Reads	1,200	\$33.40	\$40,080
Sub tenant read	200	\$33.40	\$6,680
Add circuit (meter)	260	\$124.80	\$32,448
Alter circuit (meter)	1,360	\$124.80	\$169,728
Single phase meter	90	\$202.70	\$18,243
Three phase meter	20	\$405.30	\$8,106
Current transformer meter	5	\$326.55	\$1,633
			\$1,753,818

¹ This is an average price for the provision of same day reconnections

Other Distribution Special Services

The charges that Aurora is proposing that the Regulator approve for the period 1 July 2008 to 30 June 2009 are detailed below.

The agreement to deliver any services to the agreed guarantees stated within in this document are made assuming that there is access to the metering and servicing assets, there are no safety issues associated with delivery of the service, the Electrical Contractor has performed work to agreed standards and the infrastructure is present to deliver the service.

A retailer service request, for all services, is to be received by 3:00pm on any business day, otherwise it will be deemed to have been received the next business day.

Supply Establishment - Installation of Meters and Service Connection

Service to be delivered no later than 10 business days of receiving retailer service request, unless an alternate date of installation has been agreed:

Install meters & service \$0.00

- Install permanent meters and service connection at customer's request during normal business hours.

Install meters & service – wasted visit \$117.60

- Visit to a customer's premises during normal business hours to establish supply at the customer's request where the establishment could not be completed due to issues at the customer's premises.

Supply Abolishment - Removal of Meters and Service Connection

Service to be delivered no later than 5 business days of receiving retailer service request, unless an alternate date of removal has been agreed:

Remove meters & service \$178.50

- Remove meters and service connection at customer's request or building demolition during normal business hours.

Remove meters & service – wasted visit \$117.60

- Visit to a customer's premises during normal business hours to abolish supply at the customer's request where the abolishment could not be completed due to issues at the customer's premises.

Renewable Energy Connection

Service to be delivered no later than 10 business days of receiving retailer service request unless an alternate date of installation has been agreed:

Connection of renewable energy meter \$126.00

- Supply and install single phase dual register basic import/export metering equipment at a customer premises during normal business hours.

Connection of renewable energy meter – wasted visit \$68.15

- Visit to a customer's premises during normal business hours to install renewable energy meter where the installation could not be completed due to issues at the customer's premises.

Temporary Builder's Connection

All services to be delivered no later than 10 business days of receiving retailer service request, unless an alternate date of installation has been agreed:

Temporary single phase builders supply underground – temporary position \$250.10

- Connection of a single phase underground builders supply in a temporary position to be removed when permanent supply connected.

Temporary three phase builders supply underground – temporary position \$295.55

- Connection of a three phase underground builders supply in a temporary position to be removed when permanent supply connected.

Temporary single phase builders supply underground – permanent position \$136.45

- Connection of a single phase underground builders supply in a permanent position.

Temporary three phase builders supply underground – permanent position \$181.90

- Connection of a three phase underground builders supply in a permanent position.

Temporary single phase builders supply overhead – temporary position \$684.75

- Connection of a single phase overhead builders supply in a temporary position to be removed when permanent supply connected.

Temporary three phase builders supply overhead – temporary position \$856.55

- Connection of a three phase overhead builders supply in a temporary position to be removed when permanent supply connected.

Temporary single phase builders supply overhead – permanent position
\$457.20

- Connection of a single phase overhead builders supply in a permanent position.

Temporary three phase builders supply overhead – permanent position
\$629.05

- Connection of a three phase overhead builders supply in a permanent position.

Temporary builders supply – wasted visit
\$117.60

- Visit to a customer's premises during normal business hours to install a temporary builders supply at the customer's request where the installation could not be completed due to issues at the customer's premises.

Temporary Show & Carnival Connection

All services to be delivered no later than 10 business days of receiving retailer service request, unless an alternate date of installation has been agreed:

Temporary show supply – underground
\$250.10

- Connection of a temporary underground supply for a show or carnival (including subsequent removal of temporary underground supply).

Temporary show supply – overhead mains
\$278.25

- Connection of a temporary overhead supply for a show or carnival where consumer's mains are to be attached to an existing Aurora pole (including subsequent removal of temporary overhead supply).

Temporary show supply – overhead service
\$684.75

- Connection of a temporary overhead supply for a show or carnival where an overhead service is required (including subsequent removal of temporary overhead supply).

Temporary show supply – wasted visit
\$117.60

- Visit to a customer's premises during normal business hours to install a temporary show supply at the customer's request where the installation could not be completed due to issues at the customer's premises.

Truck Tee-up

Tee-ups are to be requested on an Electrical Works Request (EWR). An attempt to contact the contractor will be made within 2 business days of receiving the EWR from the retailer. The tee-up date will be arranged for action within 15 business days of receipt of retailer request, unless an alternate date for the tee-up has been agreed. If the Electrical Contractor requests a Tee-up date outside the 15 business days that date will become the agreed date

Tee-up – normal hours \$651.00

- Contractor requested tee-up with service connections crew whilst undertaking work at customer's installation during normal business hours.

Tee-up – after hours \$1,494.15

- Contractor requested tee-up with service connections crew whilst undertaking work at customer's installation after normal business hours.

Tee-up – wasted visit \$117.60

- Contractor requested tee-up with service connections crew where service connections crew are not required once on site.

Miscellaneous Services

All services to be delivered no later than 10 business days of receiving service request, unless an alternate date for the service has been agreed:

Open turret \$102.25

- Open turret or cabinet for electrical contractor installing or altering customer's mains during normal business hours.

Addition/Alteration to the overhead connection point – \$145.00

- Disconnect and reconnect service connection for addition/alteration for the connection point

Miscellaneous service – wasted visit \$68.15

- Contractor requested miscellaneous service with service connections crew where service connections crew are not required once on site.